

Dalal Street's Finest All-rounder

One September morning in 2011, I was glancing through the stock quotes page of a business daily when my attention was drawn to the stock price of VST (formerly Vazir Sultan Tobacco), which owns the Charminar brand of cigarettes, the third largest cigarette company in India.

It had hit a record high of Rs 1,350 the previous day. I was immediately reminded of Radhakishan Damani and his failed bid for control of the company in 2001. I checked the stock exchange website to see if Radhakishan was still holding on to the roughly 26 per cent stake in VST he had accumulated over the years. Sure enough, he was, and that stake was now worth Rs 520 crore.

That was an almost 15-fold return from the time Radhakishan first started accumulating the shares way back in 2000. Back then, the reclusive investor had stunned the market by making a hostile bid for cigarette maker VST, which had British American Tobacco (BAT) as its single largest shareholder with a 32 per cent stake. Through his investment arm Bright Star Investments, Radhakishan had accumulated a shade below 15 per cent in the company in the course of the previous year at an average price of Rs 88 per share. He was willing to pay Rs 112 per share for an additional 20 per cent in the company, at a Rs 26 premium to the market price of the stock on the day he announced the bid.

Even Radhakishan's closest associates were surprised by this act of aggression, which was completely at odds with his soft-spoken and reclusive nature. The offer document mentioned that the acquirer's (Bright Star Investments') sole intention was to increase its stake in the company.